

OVERVIEW OF THE REVISED UNIFORM PARTNERSHIP ACT (RUPA) AND THE UNIFORM PARTNERSHIP ACT (UPA)

LO 28-2

Summarize the main differences between the RUPA and the UPA and explain their role as legal default rules.

Unlike most business entities, general partnerships are not created by filing a form with the state. Instead, the law recognizes that two or more individuals form a general partnership if they have demonstrated an intent to carry on as co-owners of a business for profit. While some general partnerships have written agreements detailing the internal operations of the business and the rights and responsibilities of the partners, others operate without any written agreement at all. In the absence of an agreement, the [Revised Uniform Partnership Act \(RUPA\)](#) is likely to govern a general partnership.

Just like the Uniform Commercial Code (UCC), the RUPA is a model statute drafted and occasionally revised by the National Conference of Commissioners on Uniform State Laws. To date, approximately 40 states have adopted all or substantial portions of the RUPA. States that have not yet adopted the RUPA operate under the RUPA's predecessor, the [Uniform Partnership Act \(UPA\)](#).¹ One of the major differences between the two acts relates to their treatment of the partnership as a separate legal person distinct from its partners. Under the RUPA "a partnership is an entity distinct from its partners,"² whereas under the UPA it is not. In contrast to the UPA, the RUPA's "entity" approach allows a partnership to survive if one partner withdraws and allows partnership creditors to collect from the partnership rather than from individual partners.

It is helpful to think of the RUPA and the UPA as [default rules](#) that apply when the partners have not expressly agreed how to regulate their internal relations with each other through a contract called a [partnership agreement](#). The RUPA also outlines certain agency principles, including fiduciary duties that the partners owe each other and the partnership. In addition to the RUPA, the judge-made common law plays an important role in general partnership law in cases where principles of general fairness must be applied and the RUPA doesn't apply to a particular situation.³

TAKEAWAY CONCEPTS Overview of the RUPA and UPA

- In the absence of an agreement, the Revised Uniform Partnership Act (RUPA) is likely to govern a general partnership.
 - States that have not yet adopted the RUPA operate under the RUPA's predecessor, the Uniform Partnership Act (UPA).
 - Under the RUPA "a partnership is an entity distinct from its partners," whereas under the UPA it is not.
 - The RUPA outlines certain agency principles, including fiduciary duties that the partners owe each other and the partnership.
-